



INTERIM FINANCIAL STATEMENTS

30 SEPTEMBER 2021



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 30 September

		Three Months Ended 30 September 2021 Unaudited Rs	Three Months Ended 30 September 2020 Unaudited Rs
	Note		
Revenue		547,775,508	593,758,143
Gross written premium	3	495,690,790	549,742,879
Premium ceded to reinsurers	3	(27,130,996)	(21,993,245)
Net written premium		468,559,795	527,749,634
Other revenue			
Fee and commission income	3	13,430,710	7,689,027
Income from investments	5	63,880,664	56,489,233
Other income	3	1,904,340	1,830,249
Total other revenue		79,215,714	66,008,509
Net income		547,775,508	593,758,143
Net insurance benefits and claims paid		(144,387,698)	(109,456,796)
Underwriting and net acquisition costs		(257,682,117)	(190,802,961)
Change in contract liabilities - life fund		(12,484,409)	(154,437,357)
Other operating and administrative expenses		(115,739,164)	(119,183,239)
Net benefits and claims		(530,293,387)	(573,880,353)
Profit/(loss) before tax		17,482,121	19,877,790
Income tax expense		(4,195,684)	-
Profit/(loss) for the period		13,286,437	19,877,790

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 30 September

		Three Months Ended 30 September 2021 Unaudited	Three Months Ended 30 September 2020 Unaudited
	Notes	Rs	Rs
Profit /(Loss) for the year		13,286,437	19,877,790
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		26,219,921	16,851,453
Fair value movement of AFS reserve transferred to life fund		(26,219,921)	(16,851,453)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other comprehensive income		-	-
Total comprehensive income for the period		13,286,437	19,877,790

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Nine Months Ended 30 September

		Nine Months Ended 30 September 2021 Unaudited Rs	Nine Months Ended 30 September 2020 Unaudited Rs
	<u>Note</u>		
Revenue		1,878,889,554	1,435,261,416
Gross written premium	3	1,734,305,107	1,254,544,025
Premium ceded to reinsurers	3	(83,914,752)	(44,133,194)
Net written premium		1,650,390,354	1,210,410,831
Other Revenue			
Fee and commission income	3	35,340,863	23,187,633
Income from investments	5	188,045,537	197,384,765
Other income	3	5,112,799	4,278,186
Total other revenue		228,499,199	224,850,584
Net income		1,878,889,554	1,435,261,416
Net insurance benefits and claims paid		(420,427,436)	(239,044,472)
Underwriting and net acquisition costs		(877,271,401)	(493,641,527)
Change in contract liabilities - life fund		(208,488,129)	(376,866,238)
Other operating and administrative expenses		(324,052,592)	(263,717,994)
Net benefits and claims		(1,830,239,557)	(1,373,270,231)
Profit/(loss) before tax		48,649,997	61,991,184
Income tax expense		(31,341,700)	-
Profit/(loss) for the period		17,308,297	61,991,184

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Nine Months Ended 30 September

		Nine Months Ended 30 September 2021 Rs	Nine Months Ended 30 September 2020 Rs
	Notes		
Profit /(loss) for the year		17,308,297	61,991,184
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		(43,211,626)	47,543,762
Fair value movement of AFS reserve transferred to life fund		43,211,626	(47,543,762)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other comprehensive income		-	-
Total comprehensive income for the period		17,308,297	61,991,184

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

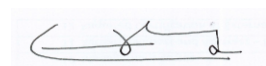
Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 30 September 2021

		30-Sep-21 Unaudited Rs.	31-Dec-20 Audited Rs.
	Notes		
Assets			
Property, plant and equipment		53,592,557	59,060,218
Right of use asset	7	143,695,297	137,336,423
Intangible asset		681,556	413,031
Financial assets	8	3,444,739,994	2,682,476,454
Loans to life policy holders		434,013,891	389,694,262
Reinsurance receivable		26,453,006	7,170,413
Amounts due from related party		18,203,667	6,448,559
Premium receivable		40,077,506	30,808,290
Other assets		59,288,249	55,874,973
Deferred tax asset		106,318,210	137,659,910
Cash and cash equivalents		104,198,555	668,548,192
Total assets		4,431,262,489	4,175,490,725
Equity and liabilities			
Shareholders' equity			
Stated capital		675,564,870	675,564,870
Revenue reserves		1,202,552,357	1,185,243,956
Other component of equity		(743,642)	
Total shareholders' equity		1,877,373,585	1,860,808,826
Liabilities			
Insurance provision - life	9	2,070,190,608	1,904,914,105
Employee benefit obligation		16,565,290	14,743,507
Reinsurance creditors		115,090,983	85,918,647
Lease creditors		159,970,827	155,319,117
Amounts due to related party	11	11,436,289	16,573,459
Financial liabilities		117,856,370	79,190,578
Other liabilities		62,778,539	58,022,486
Total liabilities		2,553,888,905	2,314,681,899
Total liabilities and shareholders' equity		4,431,262,489	4,175,490,725

These financial statements are prepared in compliance with the requirements of the companies Act No. 07 of 2007.



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Manager -Finance
(Chathumadu Abeyakoon)

The board of directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



.....
Director
(Viville Perera)



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Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

11/11/ 2020
Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW

For the Nine Months Ended 30 September

	Notes	2021 Rs.	2020 Rs.
Operating activities			
Receipts from policyholders		1,725,035,890	1,247,642,596
Payment to reinsurer		(54,742,416)	(97,899,541)
Claims paid		53,078,134	(298,137,898)
Reinsurance receipts in respect of claims		(112,445,922)	28,465,458
Payments to suppliers and employees		(1,033,990,267)	(414,686,255)
Cash inflow from operating activities		576,935,418	465,384,361
Tax paid		(0)	4,088,146
Net cash flows from operating activities		576,935,418	469,472,507
Investing activities			
Purchase of property and equipment		(15,463,883)	(19,692,045)
Purchase of intangible asset		-	-
Disposal of property plant and equipment		-	-
Net drawdown of investments		(762,263,540)	(152,784,970)
Net cash flows used in investing activities		(777,727,423)	(172,477,015)
Financing activities			
Proceeds from share issue		-	-
Stamp duty on share allotment		-	-
Dividend payment		-	-
Net cash flows used in financing activities		-	-
Net (decrease)/increase in cash and cash equivalents		(200,792,005)	296,995,492
Cash and cash equivalents at 1 January		668,548,192	295,514,738
Cash and cash equivalents at 30 September		467,756,187	592,510,230
Analysis of cash and cash equivalents			
Favourable balances			
Cash at hand		616,791	526,062
Cash at bank		103,581,764	591,984,168
Short term investments		-	-
		104,198,555	592,510,230
Unfavourable balances			
Bank overdrafts		-	-
Total cash and cash equivalents		104,198,555	592,510,230

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Nine Months Ended 30 September

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Audited balance as at 31 December 2020	675,564,870	-	1,185,243,957	1,860,808,827
Issue of share capital	-	-	-	-
Share issue expenses	-	-	-	-
Dividend declared	-	-	-	-
Other comprehensive income	-	11,817,862	-	11,817,862
Net profit for the period	-	-	4,021,963	4,021,963
Unaudited balance as at 30 June 2021	675,564,870	11,817,862	1,189,265,920	1,876,648,652
Issue of share capital	-	-	-	-
Other comprehensive income	-	(12,561,503)	-	(12,561,503)
Net profit for the period	-	-	13,286,437	13,286,437
Dividend declared	-	-	-	-
Unaudited balance as at 30 September 2021	675,564,870	(743,641)	1,202,552,358	1,877,373,585

Arpico Insurance PLC
Notes to Interim Financial Statements

- Figures in the these condensed interim financial statements for the period ended 30th September 2021 are provisional and unaudited.
- The condensed interim financial statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the audited financial statements - 2020 have been followed in preparation of these condensed interim financial statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

		Nine Months Ended 30 September Unaudited 2021 Rs	NineMonths Ended 30 September Unaudited 2020 Rs	Three Months Ended 30 September Unaudited 2021 Rs	Three Months Ended 30 September Unaudited 2020 Rs
3. REVENUE					
	Notes				
Gross written premium	4(a)	1,734,305,107	1,254,544,025	495,690,790	549,742,879
Premium ceded to reinsurers	4(b)	(83,914,752)	(44,133,194)	(27,130,996)	(21,993,245)
Net written premium		1,650,390,354	1,210,410,831	468,559,795	527,749,634
Fees and commission income		35,340,863	23,187,633	13,430,710	7,689,027
Investment income		188,045,537	197,384,765	63,880,664	56,489,233
Other operating revenue		5,112,799	4,278,186	1,904,340	1,830,249
Realise gain		-	-	-	-
Total revenue		1,878,889,554	1,435,261,416	547,775,508	593,758,144
4. NET WRITTEN PREMIUMS					
4(a). Gross premiums on insurance contracts					
Conventional policies		1,734,305,107	1,254,544,025	495,690,790	549,742,879
Total gross written premiums		1,734,305,107	1,254,544,025	495,690,790	549,742,879
4 (b). Premiums ceded to reinsurers on insurance contracts					
Conventional policies		(83,914,752)	(44,133,194)	(27,130,996)	(21,993,245)
Total premiums ceded to reinsurers		(83,914,752)	(54,016,181)	(27,130,996)	(21,993,245)
Total net written premiums		1,650,390,354	1,200,527,844	468,559,795	527,749,634
5. INVESTMENT INCOME					
Available-for-sale financial assets					
Interest income		59,817,280	45,318,967	24,263,665	13,634,019
Loans and receivables interest income		128,228,257	152,065,798	39,616,999	42,855,214
Total investment income		188,045,537	197,384,765	63,880,664	56,489,233

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Nine Months Ended 30 September Unaudited 2021 Rs	Nine Months Ended 30 September Unaudited 2020 Rs	Three Months Ended 30 September Unaudited 2021 Rs	Three Months Ended 30 September Unaudited 2020 Rs
Profit /(Loss) for the year	17,308,297	61,991,184	13,286,437	19,877,790
Weighted average number of ordinary shares (Nos)	67,556,487	67,556,487	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.26	0.92	0.20	0.29

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. Initial Application of SLFRS 16 - Leases

SLFRS 16 sets out the Principles for the recognition, measurement, presentation and disclosure of leases. This introduces a single, on-balance sheet lease accounting model for lessees. The standard removes the current distinction between operating and financing leases and requires recognition of an asset and a financial liability to pay rentals for virtually all lease contracts. An optional exemption exists for short term and low-value leases. Lessor accounting remains similar to the current standard. Lessee will be required to separately recognize the interest expense on the lease liability and depreciation expense on the right-of-use asset.

The company as a lessee has applied SLFRS 16 as initial application of 01st January 2019 using the modified retrospective approach at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis and therefore the comparative information has not been restated and continuous to be reported under LKAS 17 at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis.

	30-Sep-21 Unaudited Rs	31-Dec-20 Audited Rs
7.1 Right of use lease asset		
Opening right of use lease asset as at 01st January	137,336,423	119,555,926
Additions of right of use lease asset during the period	37,670,575	68,299,950
Net Depreciation for the period	(42,992,750)	(61,586,962)
Rent Payable		
Advance payment for leases	11,681,050	11,067,509
Closing right of use lease asset as at 30th September	143,695,297	137,336,423
7.2 Amount Recognised in Statement of Profit or Loss		
Lease Depreciation	(39,841,413)	(50,681,292)
Amortization of advance	(3,151,338)	(10,905,670)
	(42,992,750)	(61,586,962)
7.3 Lease liability (lease creditor)		
Opening lease creditor as at 01st January	155,319,117	128,171,022
Additions during the period	37,670,575	68,299,950
Finance cost recognised in profit and loss	17,466,110	21,892,453
Lease payments	(50,484,975)	(63,044,308)
Closing lease creditors as at 30th September	159,970,827	155,319,117
8. FINANCIAL ASSETS		
The company's financial instruments are summarised by categories as follows,		
	30-Sep-21 Unaudited Rs	31-Dec-20 Audited Rs
Loans and receivables	2,856,531,979	2,304,767,644
Available-for-sale financial assets	588,208,015	377,708,810
Total financial instruments	3,444,739,994	2,682,476,454

The following table consists of the fair values of the financial investments together with their carrying values.

	30-Sep-21 Carrying value Unaudited Rs	30-Sep-21 Fair value Unaudited Rs	31-Dec-20 Carrying value Audited Rs	31-Dec-20 Fair value Audited Rs
Loans and receivables	2,856,531,979	2,856,531,979	2,304,767,644	2,304,767,644
Available-for-sale financial assets	588,208,015	588,208,015	377,708,810	377,708,810
Total financial instruments	3,444,739,994	3,444,739,994	2,682,476,454	2,682,476,454
8 (a). Loans and receivables				
			30-Sep-21 Unaudited Rs	31-Dec-20 Audited Rs
Investment in corporate debt			1,149,094,508	818,008,327
Investment in fixed deposit			355,489,833	338,372,328
Investment in repos			1,282,609,118	1,087,364,523
Investment in RPF Loan			109,338,521	101,022,466
			2,896,531,979	2,344,767,644
Provision for impairment			(40,000,000)	(40,000,000)
			2,856,531,979	2,304,767,644
8 (b). Available for sale financial assets				
			30-Sep-21 Unaudited Rs	31-Dec-20 Audited Rs
Investments in government securities			328,490,438	377,708,810
Investment in quoted shares			259,717,577	-
			588,208,015	377,708,810

9. INSURANCE CONTRACT LIABILITIES		30-Sep-21 Unaudited Rs	31-Dec-20 Audited Rs
Balance as at beginning		1,904,914,105	1,562,743,701
Change in contract liabilities life fund			
Increase in life insurance fund before surplus transfer	8 (a)	208,488,129	495,077,703
Surplus transferred from share holders		-	(199,037,030)
Increase in life insurance fund		208,488,129	296,040,673
Movement in AFS reserve transferred to life fund		(43,211,626)	46,129,731
Balance as at end of the periods		<u>2,070,190,608</u>	<u>1,904,914,105</u>

9 (a) Increase in life insurance fund before surplus transfer

	2021 September (Unaudited)		
	Gross Insurance Contract Liabilities Rs	Reinsurance on Insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	1,734,305,107	(83,914,752)	1,650,390,354
Liabilities paid for death, benefits and claims	(477,106,110)	56,678,675	(420,427,436)
Underwriting and net acquisition costs	(877,271,401)		(877,271,401)
Fees (deducted)/received	40,453,662		40,453,662
Investment return	139,244,629		139,244,629
Realise gain	-		-
Other operating and administrative expenses	(323,901,680)		(323,901,680)
As at 30 September 2021	<u>235,724,206</u>	<u>(27,236,078)</u>	<u>208,488,129</u>

	2020 December (Audited)		
	Gross Insurance Contract Liabilities Rs	Reinsurance on insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	1,836,100,261	(91,424,657)	1,744,675,604
Liabilities paid for death, benefits and claims	(452,716,672)	49,707,637	(403,009,035)
Underwriting and net acquisition costs	(684,711,112)	-	(684,711,112)
Fees (deducted)/received	43,261,804	-	43,261,804
Investment return	174,135,197	-	174,135,197
Realise gain	-	-	-
Other operating and administrative expenses	(379,274,755)	-	(379,274,755)
As at 31 December 2020	<u>536,794,723</u>	<u>(41,717,020)</u>	<u>495,077,703</u>

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the insurance contract liabilities have been carried out by the consultant actuaries for the year ended 31st December 2020 and based on that adequate provisions have been made in these condensed consolidated interim financial statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 st December, 2020 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consulatant M/S Acturial Partners. Based on that valuation,the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

10. TAXATION AND DEFERRED TAX

Arpico Insurance PLC is liable for income tax at 24%.

Deferred taxation	30-Jun-20 Unaudited Rs	31-Dec-20 Audited Rs
Deferred tax asset	106,318,210	137,659,910
Deferred tax asset	106,318,210	137,659,910

Statement of Financial Position				Profit or Loss	
2021		2020		2021	2020
Rs Unaudited	Rs Unaudited	Rs. Audited	Rs. Audited	Rs Unaudited	Rs. Audited
Temporary Difference	Tax Effect Asset/Liability	Temporary Difference	Tax Effect Asset/Liability	Change in Deferred Tax Asset/ Liability	Change in Deferred Tax Asset/Liability
442,992,541	106,318,210	491,642,537	137,659,910	(31,341,700)	(77,918,673)
442,992,541	106,318,210	491,642,537	137,659,910	(31,341,700)	(77,918,673)

The taxation basis of life insurance business changed from 01 April 2018 with the coming into effect of the Inland Revenue Act No. 24 of 2017 where a surplus based taxation basis is adopted replacing what was commonly known as "I-E" basis of taxation. However, the profits of Life Shareholders' fund will be taxed along a basis of "I-E".

Deferred taxation is provided using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount substantively enacted by the reporting date.

Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Accordingly the company made an assessment of future taxable profits and identified that total tax losses can be claimed within the prescribed period of the new Act. Accordingly a deferred tax asset has been recognized amounting to Rs. 106 Mn.

11. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	30-Sep-20 Unaudited Rs	31-Dec-19 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	6,828,091	13,814,529
Richard Pieris Distributors Ltd	Affiliate	4,241,506	1,929,500
Arpitech (Pvt) Ltd	Affiliate	187,218	187,218
Arpico Interiors (Pvt) Ltd	Affiliate	179,475	642,212
		11,436,289	16,573,459

12. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 30th September 2021, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

13. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Nine Months Ended 30 September

Share Information

Top 20 Shareholders

Name of the Shareholder	As at 30th September 2021	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO LTD	15,125,001	22.84
4 MR.J.P.PAUL	2,012,879	3.04
5 MR.C.S.N.SILVAPULLE	668,399	1.01
6 MYLAND DEVELOPMENTS (PVT) LTD	651,594	0.98
7 MR.S.SIVASHANTH	550,000	0.83
8 MR.B.A.R.DISSANAYAKE	200,000	0.30
9 MR.A.P.ARUMUGAMPILLAI	200,000	0.30
10 PEOPLES LEASING & FINANCE PLC/MR.K.J. GAMAGE	135,261	0.20
11 MR.T.A.N.GOMIS	130,732	0.20
12 MR.M.L.A.BENEDICT	113,108	0.17
13 MR.S.A.OBEYESEKERE	103,300	0.16
14 FLYBRUNEI SDN BHD	99,700	0.15
15 PEOPLES LEASING & FINANCE PLC/MR.K.LAVEENDRAKUMAR	86,531	0.13
16 MR.P.B.PERERA	83,544	0.13
17 MR.D.P.NAVARATNAM	81,352	0.12
18 MR.H.A.S.MADANAYAKE	78,300	0.12
19 MRS.K.ELANKAINESAN	70,000	0.11
20 MRS.M.S.E.V.E.A.U.VON STUMM	65,809	0.10
	<u>64,930,512</u>	<u>98.04</u>

Public shareholding

	As at 30th September 2020	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of shares	<u>6,630,404</u>	<u>10.1%</u>
Float adjusted market capitalization		150,493,367
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of shareholders	<u>687</u>	<u>99%</u>

Directors' shareholdings

There is no share holding by the directors as at 30th September 2021

Number of Shares

No. of shares representing the stated capital	66,230,407
Class of share	Ordinary shares
Voting rights	One vote per ordinary share

Share performance

Net asset value per share as at 30th September 2021	28.3
Highest price per share for the interim period	23.3
Lowest price per share for the interim period	22.3
Last traded price per share as at 30th September 2021	22.7